

MLCO pitch deck

PITCH — MLCO — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO ENTRY before the August 13 earnings report. Stay flat through the print, then re-screen August 14 with a pre-staged buy plan near \$4.40 that only activates if specific conditions (listed below) are met. Both the prosecution and defense benches independently landed on flat-before-the-print; they disagree on why, and the why matters for what we do afterward.

What we believe

Melco Resorts (MLCO) is a Macau casino operator whose US-listed shares have fallen 46% from their 52-week high to \$5.46, sitting 7.7% above the 52-week low. We believe the stock is not obviously mispriced today, but it is set up to *become* mispriced within days, in a way we can prepare for now:

1. The recent Macau revenue weakness is largely explained and largely temporary.

June market-wide gaming revenue fell 12.1% year-over-year, but the World Cup (which ended July 19) pulled Chinese gamblers away from tables, and July was down a milder 8.4%. Year-to-date through July the Macau market is still *up* 4.4%. Wynn's management said on August 5 that volumes recovered in late July and early August. This looks like a dated, explainable dip — not structural decline.

2. Reported quarterly results in this industry are partly a luck lottery. Casino “hold” — the percentage of money wagered that the house actually keeps versus the statistical expectation — swings reported earnings violently quarter to quarter even when underlying customer demand is fine. Sands China reported earnings down 24% *despite* customer wagering volumes growing 15%+, purely because luck ran bad; Wynn Macau reported earnings up 17% because luck ran good. MLCO's August 13 report is therefore a coin flip on optics, not a predictable miss.

3. The genuinely scary thing is the founder's margin loan. The controlling shareholder has pledged 677.4 million shares — essentially 98.5% of the control block — as collateral for a \$1 billion loan facility. At \$5.46 the collateral is worth about \$1.23 billion, only 1.23x the loan. A ~19% drop in the stock (to roughly \$4.40) puts collateral value equal to the loan. A bad-luck earnings print could gap the stock toward exactly that level, potentially triggering forced selling that feeds on itself. That is both the reason not to hold through the print **and** the reason a post-print crash could overshoot into a real buying opportunity.

Net: we don't own it, we shouldn't own it before Thursday's report, and we should be ready to buy weakness *if and only if* the weakness is a luck-driven headline miss with healthy underlying demand and the margin-loan facts check out.

What the market believes

The market treats MLCO as a fairly priced, leveraged, weaker sibling in a soft Macau cohort. This is not an ignored stock: it is heavily covered by sell-side analysts, and Morgan Stanley's Equal-weight rating carries a \$6.00 target — only ~10% above the current price, i.e., the Street sees it as roughly fair. The whole cohort is marked down, not just MLCO: Wynn is 24% off its high and Las Vegas Sands 35.5% off its high (2.8% above its low). MLCO's deeper 46% drawdown is approximately what you'd expect from applying its higher debt load (~4x net leverage; roughly 35–40% equity move per 10% change in operating earnings) to the same industry news. Crucially, the “disappointing quarter” inputs are already public: Sands China reported July 23 and Wynn Macau August 5, so the flat-market, luck-hurt-earnings story has been in the price for two to three weeks. Options are pricing the August 13 report as a major event (implied volatility around its 98th percentile).

Why we might have edge

- **We decomposed luck from demand where the headline series doesn't.** The government's monthly revenue figure (from Macau's gaming regulator, DICJ) measures casino *winnings*, which luck distorts. The peer reports let us see *wagering volume* — actual customer demand — separately, and demand grew (Sands mass-market wagering +15%, Wynn mass wagering +5.5%). If MLCO prints an ugly headline on bad luck with growing volumes, headline-reading sellers may hand us a mechanical, explainable dislocation.
- **We priced the margin-loan trigger to a specific level.** From the July 10 Schedule 13D/A: 677.36 million pledged shares × \$1.48/share ≈ \$1.0 billion, i.e., collateral equals the loan at about **\$4.40**. Few headline reactions are computed against that line; forced-selling overshoots below fundamental value are exactly the kind of technical seller we like buying from — but only with the facts verified first.
- **We caught our own first-draft error before it cost money.** Our prosecution bench initially argued the weak June revenue made an earnings miss “mechanical.” Our defense bench overturned that by showing the revenue series is luck-contaminated — the exact confusion we're counting on other sellers to make on August 14.
- **The pledge status question is resolved, against the optimists.** The loan facility nominally matured in June 2026; the July 10 13D/A describes it in the present tense (“is secured by...”), and 13D filers must promptly amend on material changes. So we treat the pledge as live — no wishful “maybe it expired.”

Why it might be priced in

Symmetry demands we say this plainly:

- **The bad quarter is old news.** Peer results made the flat market and luck problems public weeks ago. \$5.46 already reflects them; the August 13 residual is MLCO-specific luck and market share — a symmetric coin flip, not a skewed short or a skewed long.

- **This is not a neglected orphan.** Heavy analyst coverage and a consensus near-fair target mean there is no “nobody’s looking” story. Our own defense bench conceded the stock fails as a simple hold-for-the-yield candidate, and the prosecution’s demand to strike the “lean real candidate” label was accepted by both benches.
- **The market may be repricing something real.** MLCO’s excess drawdown versus peers is roughly what its leverage justifies. If Macau demand disappoints post-World Cup (August revenue is the test), the current price is correct or generous.
- **The margin loan cuts both ways.** It creates the overshoot opportunity, but until the Q2 filing confirms the facility’s terms and status, buying a gap-down means buying *in front of* a possible forced seller, not behind one.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2 Macau market revenue was flat vs. last year	Summed DICJ monthly figures via trade press (Apr MOP19.9bn +5.5%, May MOP22.61bn +6.7%, Jun MOP18.5bn -12.1%)	≈MOP61.0bn vs ≈61.1bn prior year — flat	YES
Flat revenue → MLCO earnings “mechanically” decline (prosecution’s original kill)	Cross-checked against peer Q2 reports the prosecution hadn’t read	Our prosecution bench erred: revenue = winnings, not demand. Sands China wagering +15% with earnings -24% (bad luck); Wynn wagering +5.5% with earnings +17% (good luck). Q2 optics are a luck lottery	NO — overturned
“Deteriorating market” (prosecution’s framing)	DICJ year-to-date through July, prosecution’s own source	Market + 4.4% YTD; June/July dip tied to the World Cup, which ended July 19; Wynn cited early-August recovery	NO — refuted
MLCO’s drawdown is a unique dislocation (defense’s original framing)	Peer tape check (Google Finance): Wynn -24% off high, LVS -35.5% off high	Our defense bench erred: cohort-wide markdown; MLCO’s excess ≈ its leverage. Both benches struck “lean real candidate”	NO — conceded
98.5% of the control block is pledged against a \$1bn loan	July 10 Schedule 13D/A (SEC’s own server returned 403 twice; verified via full third-party rendering of the filing)	677.36M shares pledged; coverage 1.23x at \$5.46; collateral = loan at ~\$4.40	YES (via secondary rendering of a primary filing)
That loan facility may have expired at its June 2026 maturity (prosecution’s tail-risk caveat)	Same 13D/A, read closely	Described in present tense after the nominal maturity, no termination amendment; treat as live	Resolved — pledge is live
Earnings date August 13	Company press release, August 7: https://www.globenewswire.com/news-release/2026/08/07/3341013/0/en/melco-	Confirmed from the primary source (the pack’s date was initially unconfirmed)	YES

Claim	How checked	Found	Confirmed?
	announces-earnings-release-date.html (call 8:30am ET)		
~32%-of-market-cap buyback is being executed, not just authorized	13D/A notes the amendment was partly triggered by cancellation of repurchased shares	Execution confirmed through early April; Q2 pace unknown	PARTIAL
Live quote and options pricing via our broker connection	Broker API was permission-denied this session (both benches)	Fell back to web quotes (\$5.46, matching the pack); options read is secondary-sourced	PARTIAL — coverage gap

PROPOSED ENTRY BANDS

The courts say no entry now. Both benches: flat into August 13. Long options overpay a 98th-percentile-volatility event; selling options is banned in this taxable book; owning the shares is just taking the coin flip. These are the **reopen bands**, built from the benches' own arithmetic:

- **Reopen date: August 14** (day after the print), with the broker connection restored so quotes and options come from primary feeds.
- **Dislocation-buy zone: ~\$4.40–\$4.60** (approach of pledge-coverage 1.0x; $\$4.40 = 677.36\text{M shares} \times \text{price} = \1.0bn loan). Activates **only if all three gates pass** from the Q2 filing and call:
 1. Mass-market wagering volume (demand, not winnings) grew year-over-year, and the earnings miss is attributable to below-normal luck;
 2. The share-pledge facility's status and terms are disclosed and unchanged-or-improved (refinanced, reduced, or terminated is better);
 3. No new capital-spending or liquidity strain beyond the known ~\$425M program and Cyprus build.
- **Confirmation gate, ~September 1:** August market revenue $\geq$ MOP21bn would confirm the World Cup was the whole June/July story (Wynn's commentary makes this likely). A print below ~MOP19bn kills the "temporary dip" premise and the buy plan with it.
- **Sizing: not set by the benches — to be fixed at adjudication.** Given the live pledge (a forced-seller tail in exactly the loss direction) and 4x corporate leverage, we propose any activated position start small — on the order of 0.5–1% of the book — with adds only after the September 1 revenue confirmation. Marked PROPOSED.
- **If instead MLCO prints a strong quarter and re-rates toward the \$6.00 consensus target:** no chase. The fair-value case was conceded; upside without the dislocation is not our trade. Re-screen only on a fresh cause.
- **Exit/invalidation for any activated position:** the pledge facility revealed as impaired/in-default territory, or demand (wagering volume) shown to be declining at normal luck — either converts "luck-driven overshoot" into "correctly repricing," and we exit.

Catalyst dates: **August 13, 2026** (Q2 earnings, confirmed by company press release); ~**September 1, 2026** (August Macau revenue, statutory monthly release, exact date unconfirmed — the regulator posts no forward calendar).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.4 (deck-provisional: 677.36M pledged control-block shares x price = the \$1bn margin loan; forced-selling zone)
- filing watch: 6-K until 2027-02-06 (deck-provisional: Q2 results: wagering volume vs luck, pledge-facility status, buyback execution (foreign issuer - no 8-))
- dated pack MLCO|2026-08-01: Macau July gross gaming revenue (DICJ, ~Aug-1 statutory 1st-of-month; est. — DICJ posts no forward calendar) June was depressed by the Worl
- dated pack MLCO|2026-08-13: MLCO: Q2 earnings + 8:30am ET call, company-confirmed (date confirmed=True)
- dated pack MLCO|2026-09-01: MLCO: August Macau gross gaming revenue (DICJ); >=MOP21bn confirms transient dip (date confirmed=False)

What remains unverified

- **The pledge facility's current terms** (size, margin-call mechanics, covenants, post-June-2026 refinancing). The 13D/A's present-tense language makes it live; the terms remain unknown until the Q2 filing. This is the single most load-bearing unverified item.
- **Q2 buyback execution pace** — confirmed through early April only.
- **MLCO's own Q2 wagering volumes and luck** — unknowable until August 13; the entire reopen plan is gated on them.
- **Live options pricing and executability** — broker API was permission-denied both court sessions; the "98th-percentile implied volatility" figure is secondary-sourced. Grant broker access before August 14.
- **Booking/forward-demand panels** (our scheduler-exhaust detector failed to load four times) — the one true pre-print demand read never ran.
- **Cyprus/Sri Lanka construction progress** (satellite check not run) — not load-bearing for this verdict.
- **The dashboard closing step** (ledger and edge-classification updates, scanner re-run) was not performed by either bench — no repository write access in the court session. It must be executed at adjudication.

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